

Soitec

Deeper Mobile trough likely to offset any SiPho upside:
Stay Neutral

Soitec is ~40% off its year-to-date peak, with some investors questioning whether this represents an attractive entry point for a medium-term position. We think there is upside to consensus expectations on the SiPho opportunity, but offsetting this we see a continued contraction and a much shallower recovery in the Mobile business than is currently anticipated by consensus. AI and the associated infrastructure build-out has been a mixed blessing for Soitec, with the SiPho business booming but the Mobile business likely to suffer as high DRAM prices (due to AI demand) leads to demand destruction. We remain Neutral, on the view that the downside risk to the core Mobile Communications business is not yet fully reflected in the shares, but equally, we do not think being underweight is sensible while we see upgrade risk to the Edge & Cloud AI division.

- SiPho remains the significant driver:** We expect SiPho will be the material growth engine for Soitec (helped by rising adoption in transceivers and CPO ramping from ~2028). We model rapid growth (50% revenue CAGR FY25-30e; €535m in FY30) supported by pre-existing capacity with an assumption that Soitec's market share normalises (~80% in FY30) as competition ramps (notably Global Wafers) plus some downward pressure on pricing as long-term supply agreements take effect. We recognise a high degree of execution risk in SiPho, both for Soitec and also at its customers (in particular ramping CPO).
- Mobile decline to continue in FY27 with shallower recovery:** Mobile remains the largest division (~52% of FY26 revenue) but with a step-down in handset volumes expected in 2026-2027 (we estimate -16% and -3%, respectively). As DRAM pricing flows through the supply chain, we see a further contraction in Mobile revenues. Management's more disciplined approach to RF-SOI pricing from FY27 onwards could support margins, but also increase market-share-loss risk and prolong the destocking cycle (we now assume destocking into FY28). *Our revenue forecast for the Mobile Communications division is 14-17% below consensus in FY27-29.*
- Auto & Industrial still working through inventory:** Inventories across Auto & Industrial customers remain elevated, which will represent a headwind to Soitec volume and possibly pricing through FY27 (although pricing discipline appears to be a company priority). There are some recent indications of restocking in the Auto supply chain, but we expect IDMs to see most of the benefit (rather than wafer makers). On top of this, SmartSiC is likely to contract further based on competitive pressures (which prompted the impairment in FY26). We expect revenue to be broadly flat in FY27, with a gradual improvement in FY28 largely in line with consensus.
- Gross margin trajectory shallower than consensus expects:** We see a more gradual margin rebuild than the latest consensus, with group-level gross margin only reaching 30.2% in FY29 (vs. 32.2% consensus) despite SiPho mix benefits and improving loading. Headwinds include a higher fixed-cost/depreciation base, pricing pressure (especially RF-SOI) and currency. In the near term, elevated inventory write-downs in FY26 should support FY27 gross margins.

Neutral

SOIT.PA, SOI FP

Price (07 Jul 26):€98.16

▼ **Price Target (Dec-27):€92.00**

Prior (Dec-27):€130.00

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Revenue - 27E (€ mn)	631	603	-4.4%
Revenue - 28E (€ mn)	824	748	-9.2%
Adj. EPS - 27E (€)	(0.48)	(0.59)	-21.8%
Adj. EPS - 28E (€)	1.79	0.91	-49.3%
Adj. EBIT - 27E (€ mn)	2	(3)	-246.5%
Adj. EBIT - 28E (€ mn)	96	58	-40.0%

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	91	23	28	47	53
Growth	13	54	58	12	
Momentum	96	91	86	36	56
Quality	70	88	78	65	37
Low Vol	1	94	93	61	34
ESGQ	51	47	35	83	97

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 14 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	323.3%	-33.1%	100.3%	109.9%
Rel	319.8%	-35.4%	93.9%	101.2%

Company Data

Shares O/S (mn)	36
52-week range (€)	200.50-22.62
Market cap (\$ mn)	4,004.53
Exchange rate	0.87
Free float (%)	69.5%
3M ADV (mn)	0.58
3M ADV (\$ mn)	84.4
Volatility (90 Day)	128
Index	SBF 120 INDEX (CAC 120)
BBG ANR (Buy Hold Sell)	6 10 3

Key Metrics (FYE Mar)

€ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	592	603	748
Adj. EBIT	(131)	(3)	58
Adj. EBITDA	143	131	189
Adj. net income	(220)	(21)	33
Adj. EPS	(6.17)	(0.59)	0.91
BBG EPS	(1.94)	(0.14)	2.00
Cashflow from operations	205	176	160
FCFF	68	80	44
Margins and Growth			
Revenue Growth Y/Y (%)	(33.6%)	1.8%	24.1%
EBIT margin	(22.1%)	(0.4%)	7.7%
EBIT Growth Y/Y (%)	(210.1%)	(98.0%)	(2248.4%)
EBITDA margin	24.2%	21.7%	25.3%
EBITDA Growth Y/Y (%)	(52.0%)	(8.4%)	44.5%
Net margin	(37.2%)	(3.6%)	4.4%
Adj. EPS growth	(340.4%)	(90.5%)	(254.9%)
Ratios			
Adj. tax rate	(37.9%)	(9.0%)	16.0%
Interest cover	4.8	7.7	10.5
Net debt/Equity	0.0	NM	NM
Net debt/EBITDA	0.4	NM	NM
ROE	(15.1%)	(1.6%)	2.5%
Valuation			
FCFF yield	1.9%	2.2%	1.2%
Dividend yield	0.0%	0.0%	0.0%
EV/Revenue	7.2	7.0	5.6
EV/EBITDA	29.9	32.2	22.1
Adj. P/E	NM	NM	108.3

Summary Investment Thesis and Valuation

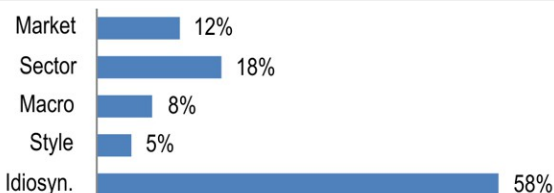
Investment Thesis

Soitec is going through a period of extreme inventory correction at customers, which is having a significant negative impact on revenue. At the same time, concerns over the competition for Soitec's largest product (RF-SOI) are heightened. Other products are beginning to compensate, notably POI and Photonics-SOI, which we expect to become the dominant revenue stream in the next 2-3 years. Market enthusiasm for Silicon Photonics has resulted in a significant run-up in the shares; however, we now see the valuation as full to fair, reflecting the future opportunity.

Valuation

Our Dec-27 price target of €92 is based on 11.0x FY29e EBITDA (y/e March 2029) (previously €130 valued on 15.0x FY29). The chosen multiple is at the high end of the wafer maker range, justified by higher growth; the multiple is a ~10% premium to the last five-year average, justified by improving growth, returns and cash flow. We value on FY29 earnings, which we expect to be more normalised following a period of depressed financial performance (in FY26 and expected/guided in FY27).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Europe ex UK	0.37	0.38
Sect: Technology	0.46	0.45
Ind: Semicond & S Equip	0.27	0.30
Macro:		
Euro	-0.23	-0.23
Citi Eco Surprise Eurozone	-0.17	-0.19
Eurozone Exports	0.10	0.11
Quant Styles:		
Quality	0.20	0.25
DivYld	-0.13	-0.21
Value	-0.15	-0.18

- **What else could drive upside for the shares from here?** The current share price appears to assume SiPho delivering €500m+ revenue by FY30, other divisions returning to growth in FY28, and an improving margin/FCF profile. Beyond any changes to forecasts, we do not think the portfolio review (possibly at H1'27 results) will significantly change the market's perception, while investors will be reluctant to fully underwrite 'incubator projects' at an early stage.
- **Q1'27 and Q2'27 reflecting our medium term view:** For Q1 (June-end quarter), we are in line with company guidance (+15% y/y organic) which is in line with consensus. Similarly, for Q2 we are broadly in line with consensus. However, we are below on Mobile Communications, but ahead on Edge & Cloud AI (see Table 4).
- **Conclusion for the shares:** Soitec is running at two speeds with SiPho revenue surging, while Mobile Communications (as well as Automotive & Industrial) is seeing slow growth in the forecast period. We think that revenue forecast upgrades could come through on SiPho/Edge & Cloud AI, but there is downside risk to other division estimates; net, at the group level, our forecasts are 4%/6%/3% below the latest consensus. We remain Neutral, on the view that the downside risk to the core Mobile Communications business is not yet fully reflected in the shares, but equally, we do not think being underweight is sensible while we see upgrade risk to the Edge & Cloud AI division.
- **Forecast and PT update:** We revise our revenue forecasts with group level changes of -4%/-9%/-3% in FY27/28/29, respectively, with revisions to Mobile as well as Auto & Industrial. The lower revenue assumptions flow through the P&L with limited changes to our opex and D&A assumptions (see Table 2 for summary of forecast changes). Our new PT is €92 (previously €130), which reflects our lowered estimates as well as a lowered multiple (11.0x from 15.0x, reflecting multiple contraction across the peer group).

SiPho remains the significant driver

On **volume**, we expect Silicon Photonics (SiPho)-based modules to represent a growing share of optical transceivers in the forecast period, given energy and data-efficiency benefits, while leveraging mature silicon foundries for high-volume production (e.g. STMicroelectronics moving into the SiPho foundry). Industry consultancy Lightcounting estimates that in 2026, SiPho will represent ~52% of the optical transceiver market (up from ~33% in 2024). CPO will be the next leg of growth later in the decade as it ramps from 2028 onwards – we expect this will be completely based on SiPho (with much larger SiPho content). The result is very significant growth in the SiPho wafer market through to 2030 (JPMe ~66% CAGR 2025-2030).

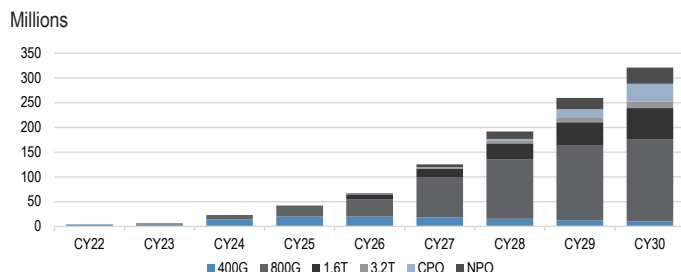
On **pricing**, while pricing in FY27 is likely to remain positive, we think LTSAs will lead to small (LSD%) blended ASP erosion for Soitec's SiPho business. This will be based on both the initial contract price but also an assumption of pricing descenders (i.e. higher volumes at lower prices). From our discussions with the company, we understand that the aim of the long-term supply agreements (LTSAs) is to gain greater confidence on future volume and pricing, as well as to improve the working capital profile - not necessarily to optimise price. A parallel may be drawn to the memory makers which have managed to secure material LTSA's with customers stretching for 3-5 years and in some cases structured as take or pay - we think this will be the ambition for Soitec.

On **market share**, we forecast an erosion of Soitec's market share to ~80% in FY30 (from an effective ~100% currently). Soitec is in the process of qualifying with a number of customers for CPO, which should support market share in the face of competition. In terms of competitors, we highlight Global Wafers (covered by Jimmy Huang) as the main competitive threat. As a reminder, Global Wafers has developed silicon on insulator technology (independent of Soitec patents) and developed a facility in Missouri dedicated to SOI at 300mm. The latest commentary from Global Wafers is that the Missouri facility is already covered by long-term agreements, although the split between RF-SOI and Photonics is uncertain ("*Capacity is nearly full with output largely sold through and selected RF-SOI and photonics already ramping.*", 5 May 2026 *Q1 earnings call*). Global Wafers management has indicated that it is exploring the expansion of its SOI production capacity, although no firm commitment has been made. Shin Etsu is also a competitor in SiPho, however, it is reliant on a SmartCut licence and as such may be less cost competitive.

We recognise a high degree of execution risk to SiPho estimates, both internally for Soitec in terms of converting capacity, securing contracts, etc, but also with customers as it launches CPO products (which will be a significant driver of SiPho content).

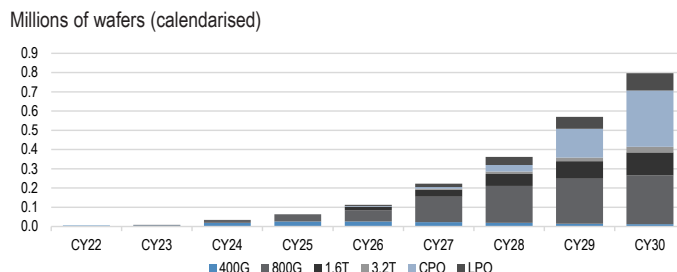
Taken together, we see faster growth for Soitec's Edge & Cloud AI business, with our revenue forecasts for this division +6%/+10%/+14% below the latest Vara consensus (Table 2).

Figure 1: Optical market, units by form factor



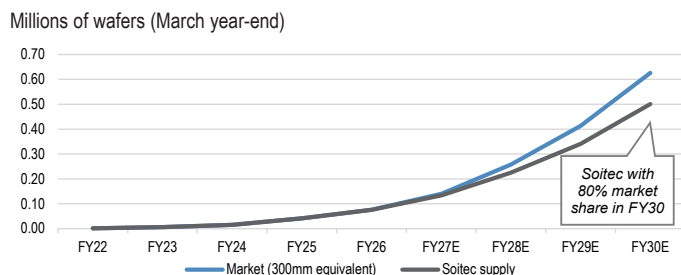
Source: J.P. Morgan estimates.

Figure 2: SiPho wafer demand by form factor



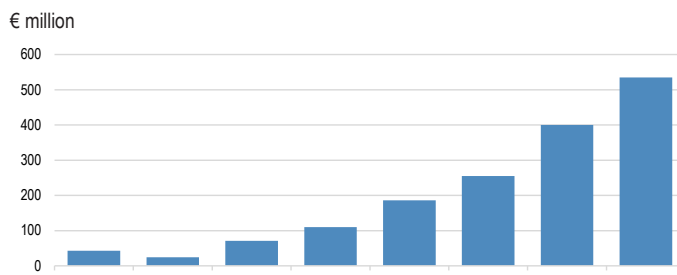
Source: J.P. Morgan estimates.

Figure 3: SiPho wafer market and Soitec market share



Source: J.P. Morgan estimates.

Figure 4: Soitec, SiPho revenue



Source: J.P. Morgan estimates.

Mobile decline to continue in FY27 with shallower recovery

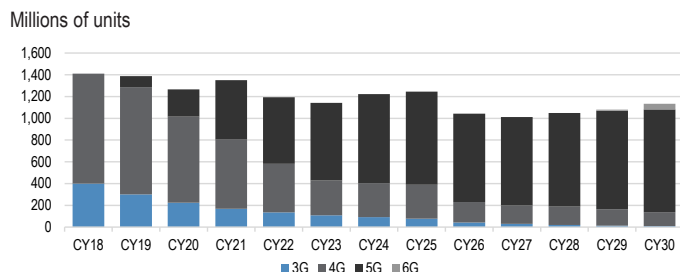
Mobile Communications still represents the majority of Soitec revenues (~52% in FY26), and fundamentally the revenue development of this division will be tied to the mobile handset market (Figure 5), although there will be increasing content and some technology shift providing tailwinds. We now factor in a handset decline of 16% in calendar 2026 and 3% in 2027, this is lower than our prior forecast which reflects further [news](#) reports of production cuts by Chinese-focused vendors.

On **RF-SOI**, which is the largest product within Mobile Communications and where there is significant inventory sitting at customers (Figure 6), we see a shallower revenue recovery as the digestion of channel inventory is prolonged given softer end-market demand (Figure 7). We understand that management is moving to a more disciplined pricing policy on RF-SOI going forward; positively, this should support gross margin, but negatively, we see greater risk of market share loss (we assume market share erosion to lower priced competitors) and elongation of the destocking cycle (we now assume destocking in FY28).

On the **non-RF SOI Mobile business**, the destocking is less of a headwind while there are new technologies (notably POI) which are increasing in adoption and should allow for growth ahead of mobile phone units in the forecast period (Figure 8).

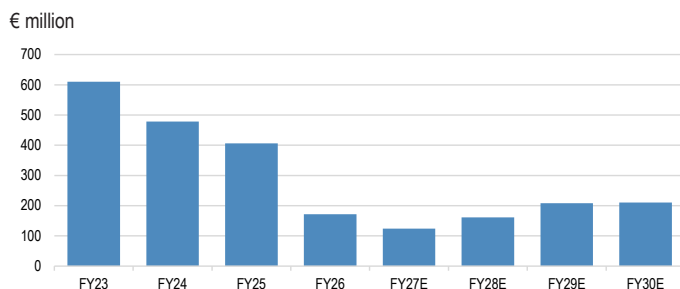
Taken together, we see a shallower trajectory for Soitec's Mobile business, with our revenue forecasts for Soitec's Mobile Communication business -15%/-14%/-17% below the latest Vara consensus (Table 2).

Figure 5: Mobile handset market, by generation



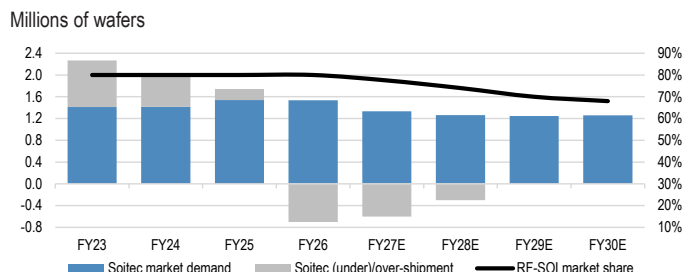
Source: J.P. Morgan estimates.

Figure 7: Soitec, RF-SOI revenue



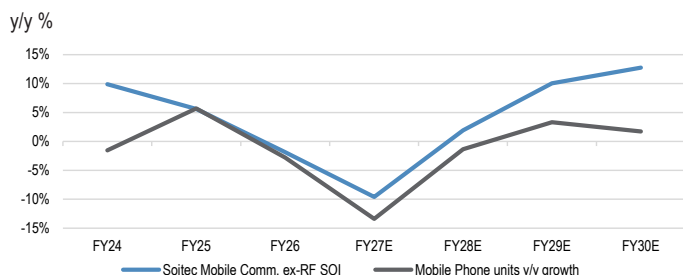
Source: J.P. Morgan estimates.

Figure 6: Soitec, RF-SOI wafer shipments and market share



Source: J.P. Morgan estimates.

Figure 8: Soitec, non-RF-SOI Mobile revenue and handset growth



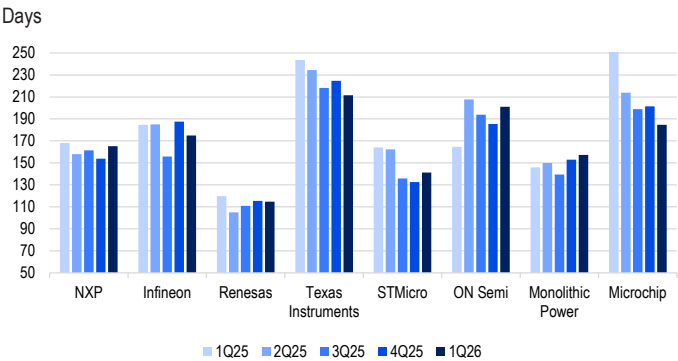
Source: J.P. Morgan estimates.

Auto & Industrial still working through inventory

Recent commentary across IDMs suggests that the Industrial end-market is seeing the beginning of an upcycle; however, the Automotive end-market is much more tentative. The Automotive end-market remains in a prolonged downturn, with regulation in the US and China delaying an upcycle (i.e. changes in the EV tax credit scheme in the US, and changes in incentive schemes in China). There has been some evidence through Q1 reporting of restocking in the Automotive supply chain benefiting IDMs, but without any real change in the end-market (in fact, S&P has revised down vehicle production forecasts) and with inventories still elevated at IDMs, we do not think that the restocking benefit will extend further down the supply chain to Soitec. Our base case is that Auto & Industrial revenue sees mild growth in FY27, with an improvement in growth in FY28 – within this we assume further declines in the SmartSic business (given competitive pressures which prompted the impairment through FY26).

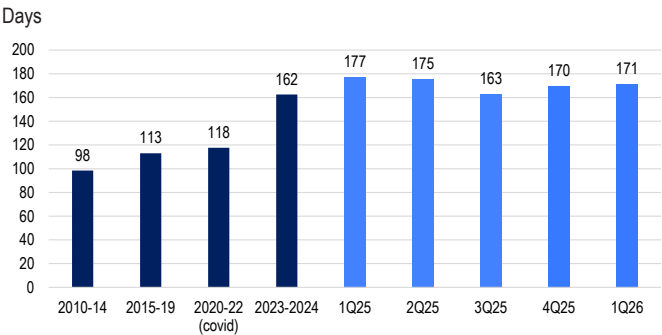
Our revenue estimates for Auto & Industrial largely correspond to latest Vara consensus (Table 2).

Figure 9: Auto and Industrial exposed IDMs, days of inventory



Source: J.P. Morgan estimates, Company data.

Figure 10: Auto and industrial IDMs, average days of inventory



Source: J.P. Morgan estimates, Company data.

Gross margin trajectory shallower than consensus expects

Most investors we speak to (and our modelling) forecast FY29 revenue $\geq$ €1bn. On gross margin, our starting point is to use FY23 (~€1.1bnn revenue) level as the basis (i.e. 37.0%), with a number of puts and takes into the future (which we outline below). The net impact, in our view, is a shallower trajectory upwards in gross margin, with our estimate *not* breaking through 35% in the forecast period.

Headwinds

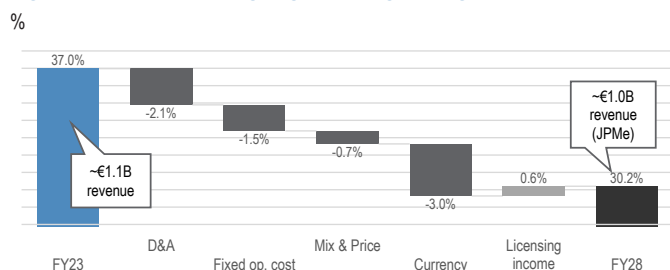
- **Capital base growth:** The capital base has grown significantly since FY23, with corresponding increases in the depreciation charge and operating costs, creating a higher fixed cost base hurdle. The PPE balance has grown ~27% from FY23 to end-FY26 (note, this would be higher when excluding impairments of tangible assets related to SmartSiC, while the number of “production” employees grew ~12% in the same period (from 1,269 to 1,418) adding to the fixed operating cost.
- **Mix and price:** While SiPho will be accretive to contribution margin in the forecast period, we see price pressures in key substrates (notably RF-SOI) resulting in a softer group-level contribution margin compared to the peak of FY23. Management is being more disciplined on pricing in FY27 (even in the face of high channel inventory), but within the Mobile segment we struggle to see positive pricing in the forecast period given inventory in the channel and growing competition.
- **Currency:** The average EURUSD rate in FY23 was ~1.04 vs. the current level of ~1.14. With sales in USD and a largely EUR cost base, the move in exchange rate represents a headwind to profitability (as a reminder, a ~5c move higher in the EURUSD rate represents a ~150bps headwind to EBITDA margin, with our expectation that this is mostly in the gross margin).
- **Rising bare wafer prices:** We don’t see an *immediate* risk to gross margins from the higher bulk wafer prices that have been reported in the industry, but we do see this as a possible impact (which may be offset in Soitec’s pricing). Soitec has ~€194m of raw materials (including ~€37m of consignment) as well as high balances of WIP (~€20m) and finished products (~€20m); we expect that these balances should sustain sales largely through FY27 (Days of Inventory stands at 162 days, Figure 9).

Tailwinds

- **Licensing income:** We note a step change in the licence income earned by Soitec since FY23. We expect that the step change relates to a change in the royalty rate paid on IP-use rather than being volume driven, with a positive impact on gross margin. Global Wafers is no longer a licensee so that will reduce license income going forward (although we understand from discussion with the company there was a one-off “catch up” royalty from Global Wafers in the FY26 base, ~€HSDm), but that the company is seeking further licensees (e.g. ZenSemi)
- **Inventory write-downs:** There was an elevated impairment of inventory which would have had the effect of depressing gross margins in FY26 (Figure 10). However, in future periods as this impaired inventory is sold and recognised in COGs, the gross margin should see support (likely in FY27).

Taken together, we see a shallower trajectory for Soitec’s gross margin, with our gross margin forecast ~200-360 bps below latest Vara consensus in FY28 and FY29 (Table 2).

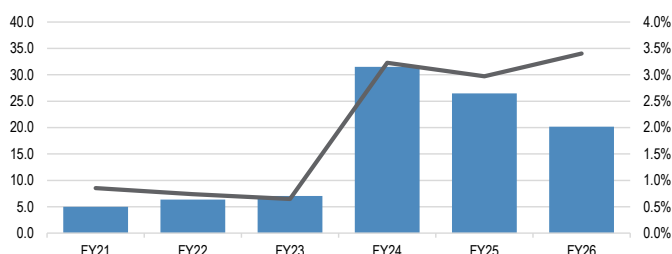
Figure 11: Soitec, JP Morgan gross margin bridge



Source: J.P. Morgan estimates.

Figure 13: Soitec, license income

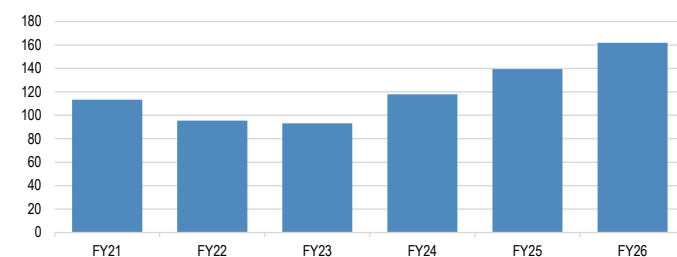
€ million and % of sales



Source: J.P. Morgan estimates, Company data

Figure 12: Soitec, days of inventory

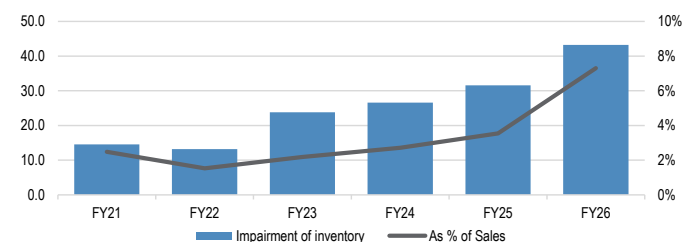
Days



Source: J.P. Morgan estimates, Company data.

Figure 14: Soitec, impairment of inventory

€ million and % of sales



Source: J.P. Morgan estimates, Company data

What else could drive upside for the shares from here?

From discussions in the market, we see the following expectations underpinning the current share price:

1. SiPho to deliver revenue of *greater* than €500m in FY30
2. Mobile Communications and Automotive & Industrial returning to growth in FY28
3. Group-level gross margins reaching low-mid 30% by FY29
4. An improving operating margin and free cash flow profile

As we outline above, we are more cautious on (2), (3) and (4) with our forecasts below consensus expectations. Beyond the numbers in the forecast period, we highlight two events that may have a bearing on the shares – **(a)** presentation of the portfolio review currently being undertaken by CEO Remont, and **(b)** the increasing credibility of ‘incubator projects’:

- On **(a)**, our expectation is that this will include actions to better optimise sales and research efforts (focusing on the most valuable opportunities) or at most extreme discontinuation of some small product lines (which are either undifferentiated or not a large enough market); in either case we don’t see a fundamental change in view on the company. We don’t expect a read-out from this review until at least H1’27 results in November.
- On **(b)**, we sense that under the new CEO, Soitec will be investing further in the next drivers of growth. Although there have been some indications of application of SOI in memory or quantum computing, we expect that the market will be reluctant to underwrite in Soitec numbers.

What is the right multiple for Soitec at this point?

Five-year history has seen Soitec trading on ~10x two-year forward EBITDA on average, although we note a significant variation in this time (~4.0x to ~26.0x more recently). We think that as estimates begin to stabilise (following the significant expansion driven by SiPho) a small premium to longer-run average EBITDA multiple can be justified, owing to:

- **Improving free cash flow:** With action taken by management to correct working capital and more disciplined capital allocation, we see a significant improvement in free cash generation, with our expectation for €212m of free cash flow in the next three years (comparing to €97m cumulative in the prior five years).
- **Improving growth and returns:** With working capital improvement and capital discipline we see improving ROIC in the forecast period (contrary to the declining trend in the prior five years); in addition there is accelerating growth (driven by SiPho), which is unlike the prior five years where growth was decelerating (and turning negative).
- **Durable growth:** We view the SiPho growth driver as more durable than the prior RF-SOI driven growth. The RF-SOI growth driver is backed (ultimately) by hyperscaler capex, which is much more robust backing than the consumer market (mobile phones).
- **Improving sentiment:** From recent discussions with investors we note improving sentiment toward Soitec, with investors willing to reassess with a new management team in place and being proactive and candid on the measures needed to improve the company.

We value the shares at 11.0x two-year forward EBITDA, which is a ~10% premium to recent history (given the justification above). The selected multiple is at the high end of the range of wafer maker peers on an EV/EBITDA basis (more expensive on a P/E basis), which can be justified by higher growth.

Table 1: Soitec, valuation comps table

X

		EV/Sales				Sales		Growth		EV/EBITDA				EBITDA				EBIT				P/E				EPS			
		FY26	FY27	FY28	FY29	CAGR	Adj.	FY26	FY27	FY28	FY29	CAGR	Adj.	FY26	FY27	FY28	FY29	FY26	FY27	FY28	FY29	FY26	FY27	FY28	FY29	FY26	FY27	FY28	FY29
Soitec (current price)																													
Fiscal years	[CM]		7.1	5.7	4.3	19%	0.3							32.7	22.6	14.1	29%	0.8											
Calendarised	[CM]	7.1	6.0	4.6		12%	0.5	32.0	24.5	15.6		15%	1.7	-1068.5	100.8	29.2		74%	1.4										
Wafer makers																													
Global Wafers	[JHI]	9.5	7.7	6.5		16%	0.5	31.5	20.9	13.9		36%	0.6	65.4	38.8	25.7		42%	0.9										
SUMCO	[YN]	4.4	4.1	3.7		9%	0.5	15.2	12.5	10.2				-	47.8	21.1		309%	0.2										
Shin-Etsu	[YN]	4.7	3.9	3.1		18%	0.2	15.8	15.5	8.3				18.6	15.2	14.1		24%	0.6										
Siltronic	[Bbg]	3.2	2.9	2.6		6%	0.5	14.3	10.4	8.2		17%	0.6	-	-	-		-23%	-										
Median		4.6	4.0	3.4		16%	0.5	15.5	14.0	9.3		32%	0.6	42.0	38.8	21.1		42%	0.6										
Mean		5.4	4.6	4.0		14%	0.4	19.2	14.8	10.2		29%	0.6	42.0	33.9	20.3		81%	0.6										
Soitec at JPM FY (€2 EUR)																													
Fiscal years	[CM]		5.5	4.5	3.3	19%	0.2							25.5	17.6	11.0	29%	0.6											
Calendarised	[CM]	5.6	4.7	3.6		12%	0.4	24.9	19.1	12.1		15%	1.3	-833.1	78.6	22.8		74%	1.1										

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Updated forecasts and consensus comparison

Table 2: Soitec, change in JP Morgan estimates

€m

	New			Old			Diff.		
	FY27	FY28	FY29	FY27	FY28	FY29	FY27	FY28	FY29
Revenue	603	748	1,001	631	824	1,031	-4%	-9%	-3%
Gross profit	119	181	302	123	222	314	-4%	-19%	-4%
Gross margin	19.7%	24.2%	30.2%	19.6%	27.0%	30.5%	+16 bps	-280 bps	-30 bps
Adj. Operating Income	-3	58	177	2	96	183	-247%	-40%	-4%
Adj. Operating margin	-0.4%	7.7%	17.6%	0.3%	11.7%	17.8%	-73 bps	-396 bps	-14 bps
Net Income	-21	33	133	-8	63	192	+179%	-47%	-31%
Dil. EPS	-0.59	0.91	3.63	-0.48	1.79	3.78	+22%	-49%	-4%
EBITDA	131	189	304	136	228	311	-3%	-17%	-2%
EBITDA margin	21.7%	25.3%	30.3%	21.5%	27.7%	30.2%	+24 bps	-242 bps	+15 bps
FCF	80	44	88	67	17	133	+19%	+165%	-34%

Source: J.P. Morgan estimates.

Table 3: Soitec, consensus comparison

€m

	JPMe		Vara		Diff.				
	FY27	FY28	FY29	FY27	FY28	FY29	FY27	FY28	FY29
Mobile Comm.	248	288	347	292	333	417	-15%	-14%	-17%
Auto. & Industrial.	70	78	87	70	80	89	+0%	-3%	-2%
Edge & Cloud AI	285	383	567	269	348	495	+6%	+10%	+14%
Total revenue	603	748	1,001	631	797	1,031	-4%	-6%	-3%
Organic growth	3.1%	24.1%	33.8%	9.9%	25.3%	27.7%	-682 bps	-116 bps	+608 bps
Gross profit	119	181	302	127	232	334	-6%	-22%	-9%
Gross margin	19.7%	24.2%	30.2%	19.5%	27.8%	32.2%	+23 bps	-360 bps	-200 bps
Operating Income	-3	58	177	8	96	207	-133%	-40%	-15%
Operating margin	-0.4%	7.7%	17.6%	1.3%	12.0%	20.0%	-172 bps	-435 bps	-241 bps
Net Income	-21	33	133	-3	75	176	+542%	-56%	-24%
Dil. EPS	-0.59	0.91	3.63	-0.09	2.10	4.92	+525%	-57%	-26%
EBITDA	131	189	304	171	260	361	-24%	-27%	-16%
EBITDA margin	21.7%	25.3%	30.3%	26.6%	31.3%	34.6%	-487 bps	-600 bps	-427 bps
Net working capital	47	-23	-46	28	7	-55	+65%	-416%	-16%
Cash from Operations	176	160	238	195	246	263	-10%	-35%	-9%
Capex	-97	-116	-150	-100	-120	-148	-3%	-3%	+2%
FCF	80	44	88	55	105	127	+44%	-58%	-31%

Source: J.P. Morgan estimates, Vara consensus.

Table 4: Soitec, Q1'27 consensus comparison

€m

	Q1'27			Q4'26		Q1'26		Q2'27		
	JPMe	Cons	Diff.	Actual	Q/Q (JPMe)	Actual	Y/Y (JPMe)	JPMe	Cons	Diff.
Mobile Communications	38.7	44	-12%	100	-61%	43	-10%	63.8	69	-7%
CC growth	-8%			-52%		-7%				
Automobile & Industrial	12.4	7	76%	38	-68%	5	147%	13.5	12	13%
CC growth	150%			-12%		-81%				
Edge & Cloud AI	54.3	54	1%	64	-15%	44	24%	66.3	62	7%
CC growth	28%			6%		13%				
Total Revenue	105.4	103	2%	202	-48%	92	15%	143.7	146	-2%
CC growth	18%	17%	+130 bps	-36%		-16%		5%	8%	
Currency impact	-3%			-3%		-4%		-2%		
Perimeter change	0%			0%		-3%		0%		
Reported Y/Y growth	15%	12%	+255 bps	-2%		-23%		3%	5%	

Source: J.P. Morgan estimates, Vara consensus.

Investment Thesis, Valuation and Risks

Soitec (*Neutral*; Price Target: €92.00)

Investment Thesis

Soitec is going through a period of extreme inventory correction at customers, which is having a significant negative impact on revenue. At the same time, concerns over the competition for Soitec's largest product (RF-SOI) are heightened. Other products are beginning to compensate, notably POI and Photonics-SOI, which we expect to become the dominant revenue stream in the next 2-3 years. Market enthusiasm for Silicon Photonics has resulted in a significant run-up in the shares; however, we now see the valuation as full to fair, reflecting the future opportunity.

Valuation

Our Dec-27 price target of €92 is based on 11.0x FY29e EBITDA (y/e March 2029) (previously €130 valued on 15.0x FY29). The chosen multiple is at the high end of the wafer maker range, justified by higher growth; the multiple is a ~10% premium to the last five-year average, justified by improving growth, returns and cash flow. We value on FY29 earnings, which we expect to be more normalised following a period of depressed financial performance (in FY26 and expected/guided in FY27).

Risks to Rating and Price Target

Key upside risks to our rating/price target include:

- Better-than-expected growth in Silicon Photonics
- Stabilisation of market share in RF-SOI post inventory correction.
- Better-than-expected smartphone recovery and adoption of FD-SOI across 5G smartphone mmWave, automotive and IoT applications.
- New high volume customer wins for POI product offering.
- Better-than-expected improvement in operating margin and free cash flow generation on the back of management action.

Key downside risks:

- Heightened competition in RF-SOI leading to more rapid market share loss (in particular from Global Wafers)
- More rapid market share loss in SiPho, most likely from Global Wafers
- No normalisation of inventory levels.
- Initiatives to improve working capital may have a detrimental impact on revenue/market share and profitability.

Soitec: Summary of Financials

Income Statement	FY25A	FY26A	FY27E	FY28E	Cash Flow Statement	FY25A	FY26A	FY27E	FY28E
Revenue	891	592	603	748	Cash flow from operating activities	201	205	176	160
COGS	(605)	(496)	(484)	(567)	o/w Depreciation & amortization	140	138	130	127
Gross profit	286	96	119	181	o/w Changes in working capital	(80)	49	47	(23)
SG&A	(65)	(59)	(57)	(58)	Cash flow from investing activities	(175)	(115)	(97)	(116)
Adj. EBITDA	298	143	131	189	o/w Capital expenditure	(199)	(128)	(97)	(116)
D&A	(140)	(138)	(130)	(127)	as % of sales	22.3%	21.6%	16.0%	15.5%
Adj. EBIT	119	(131)	(3)	58	Cash flow from financing activities	(51)	(203)	(17)	(18)
Net Interest	(9)	(30)	(17)	(18)	o/w Dividends paid	-	-	-	-
Adj. PBT	110	(161)	(20)	40	o/w Shares issued/(repurchased)	0	0	0	0
Tax	(19)	(61)	(2)	(6)	o/w Net debt issued/(repaid)	(81)	(187)	0	0
Minority Interest	0	0	0	0	Net change in cash	(21)	(123)	63	26
Adj. Net Income	92	(220)	(21)	33	Adj. Free cash flow to firm	3	68	80	44
Reported EPS	2.56	(6.17)	(0.59)	0.91	y/y Growth	(105.0%)	2166.7%	17.1%	(44.7%)
Adj. EPS	2.56	(6.17)	(0.59)	0.91					
DPS	0.00	0.00	0.00	0.00					
Payout ratio	0.0%	0.0%	0.0%	0.0%					
Shares outstanding	36	36	37	37					
Balance Sheet	FY25A	FY26A	FY27E	FY28E	Ratio Analysis	FY25A	FY26A	FY27E	FY28E
Cash and cash equivalents	687	562	627	653	Gross margin	32.1%	16.2%	19.7%	24.2%
Accounts receivable	463	280	271	308	EBITDA margin	33.4%	24.2%	21.7%	25.3%
Inventories	231	220	156	163	EBIT margin	13.4%	(22.1%)	(0.4%)	7.7%
Other current assets	818	660	583	658	Net profit margin	10.3%	(37.2%)	(3.6%)	4.4%
Current assets	1,512	1,225	1,213	1,313	ROE	6.0%	(15.1%)	(1.6%)	2.5%
PP&E	1,003	893	862	851	ROA	3.3%	(8.6%)	(1.0%)	1.5%
LT investments	30	20	20	20	ROCE	4.3%	(8.4%)	(0.2%)	2.5%
Other non current assets	162	68	69	69	SG&A/Sales	7.3%	10.0%	9.5%	7.7%
Total assets	2,807	2,280	2,236	2,326	Net debt/Equity	0.1	0.0	NM	NM
Short term borrowings	405	103	103	103	Net debt/EBITDA	0.3	0.4	NM	NM
Payables	153	53	60	78	Sales/Assets (x)	0.3	0.2	0.3	0.3
Other short term liabilities	185	160	124	157	Assets/Equity (x)	1.8	1.7	1.7	1.7
Current liabilities	743	316	286	338	Interest cover (x)	33.1	4.8	7.7	10.5
Long-term debt	375	517	517	517	Operating leverage	473.0%	626.0%	(5353.8%)	(9312.5%)
Other long term liabilities	375	517	517	517	Tax rate	17.3%	(37.9%)	(9.0%)	16.0%
Total liabilities	1,212	955	925	977	Revenue y/y Growth	(8.9%)	(33.6%)	1.8%	24.1%
Shareholders' equity	1,595	1,327	1,310	1,348	EBITDA y/y Growth	(10.4%)	(52.0%)	(8.4%)	44.5%
Minority interests	0	0	0	0	EPS y/y Growth	(45.6%)	(340.4%)	(90.5%)	(254.9%)
Total liabilities & equity	2,807	2,282	2,235	2,325	Valuation	FY25A	FY26A	FY27E	FY28E
BVPS	44.47	37.20	35.72	36.76	P/E (x)	38.3	NM	NM	108.3
y/y Growth	12.2%	(16.3%)	(4.0%)	2.9%	P/BV (x)	2.2	2.6	2.7	2.7
Net debt/(cash)	93	58	(7)	(33)	EV/EBITDA (x)	14.5	29.9	32.2	22.1
					Dividend Yield	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: € in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

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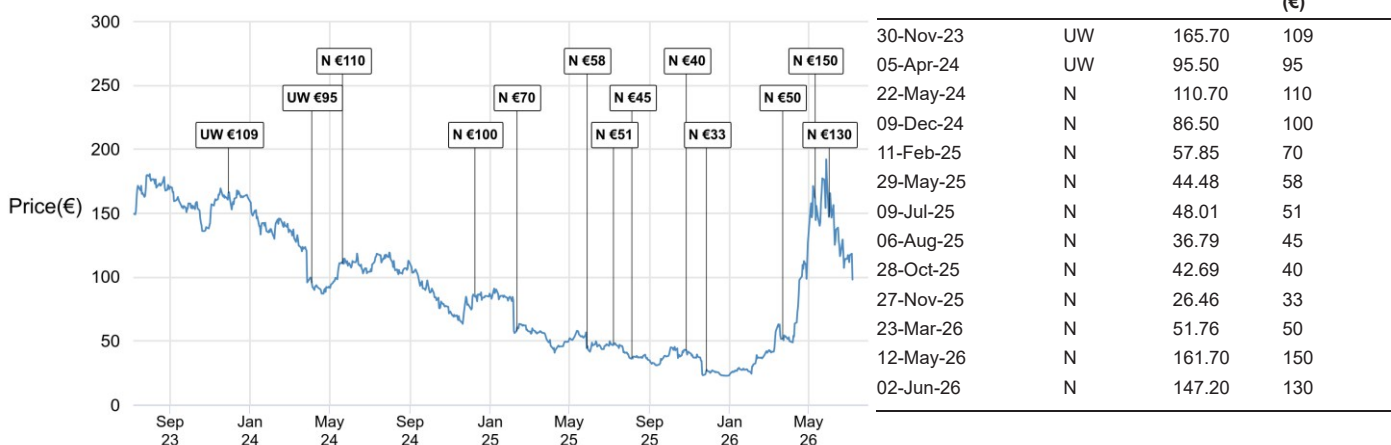
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Soitec (SOIT.PA, SOI FP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 18, 2007. All share prices are as of market close on the previous business day.

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